

The Anchor Effect

What is it?

The first thing people see shapes how they perceive everything that follows.

People tend to latch onto an initial piece of information (the “anchor”) and use it as a reference point when making decisions, even if it’s irrelevant.

For example, seeing a TV priced at \$1,500 makes a discounted \$1,200 version seem like a great deal, even if it’s still expensive.

History

The **Anchor Effect** was first introduced by **Amos Tversky** and **Daniel Kahneman** in **1974** during their research on cognitive biases in decision-making.

They discovered that humans rely too heavily on the first piece of information offered (the anchor) when making judgments or estimates.

The Psychology Behind It

Anchoring happens because our brains crave shortcuts when evaluating unfamiliar information. Once an initial value is presented, the brain subconsciously adjusts all later judgments around it—even when that anchor is arbitrary.

This makes anchors powerful tools for influencing perception, pricing, and user expectations.

Why It Matters

- Guides user choices
 - Affects perceived value and pricing
 - Can distort judgment if the anchor is misleading
 - Influences how users interpret comparisons
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How to Apply It

- **Use strategic pricing** – Eg: Show a higher “original price” before a discounted one.

- **Highlight reference points** – Eg: Show premium plans before basic ones to make them look more affordable.
 - **Use positive framing** – Eg: “Save \$300 today” instead of “Now \$1,200.”
 - **Avoid misleading anchors** – Eg: Don’t overinflate numbers or comparisons.
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Theory in Action

- **Mailchimp** lists its premium plan first, setting a high reference point that makes lower tiers feel more affordable.
 - Retail stores display “**original prices**” **crossed out** beside sale prices to make discounts look more appealing.
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Final Thought

Anchors shape perception—sometimes more than logic does.

By presenting information in the right order, designers and businesses can subtly influence how users interpret value, price, or quality.

The key is to use this power ethically—to guide decisions, not manipulate them.